GMS WEEKLY

Your Source for Recycling News

February 2nd, 2024
Volume 258, Issue 1120
Week 5

Highlights:

- **Few sales.**
- **L/C approvals.**
- **Steel gains.**
- **Charter high.**
- **Developments.**
- **Scan to download GMS Recycling App**

QUOTE of the WEEK

"You are in danger of living a life so comfortable and soft that you will die without ever realizing your true potential."

– David Goggins (Google him)

MARKET COMMENTARY

FRACTURED!

Despite both Bangladeshi and Pakistani markets making noticeable improvements over recent weeks, unfortunately, the ongoing shortage in the global availability of 'market' tonnage has ensured sales remain noticeably extricated, which has in turn restricted the industry's ability at assessing where levels really stand today. As evident from the number of arrivals & beachings this week *(see Indian sub-continent port reports on Page 8)*, an increasing number of Ship Recyclers have clearly managed to and are reportedly still in the process of obtaining further approvals on L/Cs from their respective banks. As a result, there is now a noticeable disparity in offers emanating from recyclers from the same sub-continent destination, so fractured is the sub-continent ship recycling purview on the immediate future of fundamentals & vessel pricing across the board.

Moreover, despite both, steel plate prices stabilizing & even making noteworthy improvements (for e.g. the recent USD 50/Ton jump in Bangladeshi plate prices) and sub-continent currencies continuing to find stable footing & even registering improvements this week, there remains a limited number of aggressive end Buyers who have been actively concluding the number of small LDT, private tonnage that is seemingly on offer week-after-week – a volume that is not only insufficient in sustaining the needs of Ship Recyclers the world over, but it is also a volume that is continually and increasingly affected by the ongoing war in the Middle East.

Speaking of, of increasing geopolitical concerns of late have been the ongoing skirmishes between Western Forces and Middle Eastern terror groups who have now pushed the U.S. into retaliatory strikes against key targets in Syria & Iraq. Moreover, as the overall conflict seems to increasingly gain a stronghold, attacks on passing merchant vessels in the Red Sea continue week-after-week, resulting in freight rates remaining unseasonably high and this continues to stifle the number of vessels that are potential recycling candidates, indicating that it will likely remain quieter and for far longer than previously anticipated.

This trend is also likely persist as the industry approaches the traditionally quieter Chinese New Year Holidays next week, leaving a positively underwhelming Q1 2024 for the global ship recycling markets & potential vessel volumes to come, all a time interesting developments on the regulatory fronts are seeing HKC certified Indian recycling yards being cast into the spotlight & under (re)consideration for EU approval once again, while the Norwegian government has similarly pledged US$ 1.364 million last week, to help aid the upgrade of facilities in Bangladesh.

For week 5 of 2024, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh*	Improving	510 / LDT	530 / LDT	550 / LDT
2	Pakistan*	Improving	500 / LDT	520 / LDT	540 / LDT
3	India	Weak	480 / LDT	500 / LDT	520 / LDT
4	Turkey	Weak	340 / LDT	350 / LDT	360 / LDT

BANGLADESH

FRUSTRATIONS BUILD!

Lacking candidates.

Despite the ongoing positivity being displayed from the Bangladeshi market through the opening few weeks of 2024 thus far, a glaringly marginal number of market sales have been concluded into this market, all while Chattogram Choppers have been making do with smaller LDT private tonnage (as evident from Bangladesh's local port report this week), a move indicative of increasing local desperation that is clearly leaving some of the tier-1 domestic Recyclers frustrated at the ongoing & unforgiving shortage in the supply of tonnage.

Spare bulker sale.

Making matters worse for industry players who are looking to conclude vessels into Bangladesh has been the ongoing disparity in offerings from available local Buyers, a move that has been making an increasing number of Ship Owners & Cash Buyers nervous at where levels truly stand and if they were to conclude a high priced deal, whether the agreed-to level would even be valid by the time the respective vessel arrives the country's recycling waterfront – so far apart have local offerings been.

This ongoing disparity in offers could also be due to the overall lack of confidence in domestic fundamentals, especially after an extremely shaky last 6 months of market declines, restrictive financing & L/C practices by domestic banks, and a Taka that has seemingly found a new stable spot, albeit at the weakened BDT 109.50 levels from last week.

Notwithstanding, on the flip side of things, this 'stable' level of BDT 109.50 under the new free market trade of U.S. Dollars seems like it could be the new BDT 77.X that the industry saw for years when U.S. Dollar circulation was heavily regulated by the Bangladeshi Government. Moreover, even local steel plate prices made marginal improvements this week, reporting a nearly USD 60/Ton firming over the last few weeks.

Finally, a Panamax Bulker sale did manage to register from Turkish owners this week, as the WADI S (10,247 LDT) fetched a healthy USD 530/LT LDT in light of being a good-conditioned grain trader, having a spare propeller onboard, and including about 140 Tons of bunkers in the sale.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
WADI S	Bulker	10,247	USD 530/LT LDT (with spare propeller and 140 Ts bunkers)

INDIA

LOOKING UP!

After a string of sales over the last 5 weeks that saw virtually one container being committed every week, and that too to an exclusive number of pre-selected HKC yards intended for a strictly green recycling resale into Alang, surprisingly this week (and upon the successful beaching of their 5th unit), there were no fresh candidates or sales to report from MSC.

No MSC.

Moreover, given that India remains the lowest priced / placed of all of the sub-continent ship recycling destinations, there have understandably been no market sales to report into Alang this week. At a time when the availability of tonnage remains unforgivingly absent, investments made over the years by Alang Recyclers at upgrading their facilities to operate increasingly in line with the requirements of the HKC, are certainly paying modern-day dividends to those local Buyers who are now relying primarily on green / specialist units that have been proposed for sale so far in 2024.

Steel better.

Conversely, despite being better priced destinations, both Bangladesh & Pakistan still have a lot of, not only catching up to do with regards to upgrading their facilities to HKC standards, but also successfully recycling a collection of units on their own, before global confidence and comfort in the minds of Ship Owners reaches the point where their prospective units will eventually make their way to the shores of Chattogram (and even Gadani in the long run).

Meanwhile, GMS's SSORP offers the SAFEST option for Ship Owners who are willing to be pioneers in not only giving approved Alang and Chattogram yards a chance, but also future approved yards in both Bangladesh & Pakistan their much-deserved opportunities, further giving the efforts being made by the Indian sub-continent ship recycling industry the recognition that it rightfully deserves, as SSORP stands as a guardian of the recycling project on behalf of those Owners who are looking to maintain responsible recycling practices for their units.

On the local fundamentals front & still puzzling to industry players is just how India is still the lowest placed destination, all while it's fundamentals have displayed an impressive degree of stability & strength (as in the case of the INR this week) and India's domestic economy has also been Asia's star performer of late. Yet, local Recyclers find a reason or another in keeping local offerings seemingly suppressed. All this, despite the Indian Rupee managing to gain impressive gains (trading in the high Rs. 82.8X against the U.S. Dollar) whilst local steel plate prices jumped an impressive USD 12/Ton this week, hopefully injecting a sense of optimism about the near future in the minds of Alang Buyers, as the industry trudges into February.

NO MARKET SALES REPORTED

PAKISTAN

DISPARAGING DISPARITIES!

Second placed.

After nearly a year on the sidelines watching recycling tonnage sail by to competing neighbors and as the sub-continent ship recycling market placed second to Bangladesh, Pakistan has slowly & steadily come back into the picture this year, with some increasingly impressive, yet disparaging disparities in, local offerings.

Pak is back!

As a result of, few market sales have materialized into Gadani in 2024 thus far, leaving those end Buyers who are now successful at obtaining L/C / financing approvals from their respective banks, increasingly frustrated / disappointed & finally empty-handed, given how the global shortage of meaningful tonnage has been gradually & seemingly trying to put ship recycling yards worldwide, into Airplane mode.

Nevertheless, given all what Pakistan has been through in recent years via severe economic turmoil, political strife, recent skirmishes with Iran, and a Pakistani Rupee that depreciated so alarmingly & astonishingly against the U.S. Dollar that it resulted in local Recyclers temporarily ceasing vessel negotiations just to see how far the penny would fall, it is certainly encouraging and refreshing to witness Gadani Buyers back at the bidding tables. Moreover, having privately concluded and beached about 6 ships over the last 5 weeks, Pakistan is seemingly on pace to pass last year's 'annual' volume of 17 units.

Overall, it certainly is a "pat on the back" moment for Pakistani Recyclers given that in addition to grabbing another juicy sized 11.6K LDT container away from Indian hands (that finally arrived Gadani's waterfront this week), the recent decision by the country to ratify the Hong Kong Convention will certainly be another reason for Alang Buyers to worry about the Pakistani market in the long run.

NO MARKET SALES REPORTED

TURKEY

FINDING SHIPS…AND WORDS!

Just as Aliaga Recyclers have been on an eternal hunt for recycling tonnage coming up on two years now, we are gradually running out descriptive words & ways to describe just how harrowingly quiet Turkey's domestic ship-recycling sector has become over this time, and could continue deteriorate through much of, if not all of 2024.

Harrowing 2024?

As President Erdogan pledges his allegiance with Iran and the Houthi's in this increasingly unraveling conflict in the Middle East, the ability of Aliaga Buyers is not only being hampered by the effects of the war, but their potential inability to affect U.S. Dollar transactions on future deals via potential sanctions from the West could be the final nail this market should do its best to avoid.

Sayonara?

Meanwhile, as import and local steel plate prices remain volatile overall, the Turkish Lira is individually ensuring that any freshly proposed unit(s) in the coming future will likely face hiccups from the time the deal has been concluded until the time of physical delivery, so miserably remarkable has the Lira's inability been at applying any type of brakes on its unending slide against the U.S. Dollar, having declined once again this week, ending it just under the shade of TRY 30.50.

Sayonara till Spring?

NO MARKET SALES REPORTED

INTERESTING FACTS

- *Apple's float in water but do you know why? Apples have a massive 25% of air inside them. That volume alone makes them far less dense than water, thereby inadvertently giving our dear red fruit, its buoyant properties.*
- *Here's one of the healthiest science facts about an apple. It contains twice the amount of fiber present in a related supplement of similar size and mass. Guess that's why an apple a day keeps the Dr. away.*
- *Elephants are believed to be the only mammals on earth that are unable to jump.*
- *All animals had their origins in the sea. While some insects like tapeworms have invaded the bodies of other animals, others evolved into dolphins and moved back into the waters.*
- *One of the most real facts about animals is, unlike plants, they're unable to convert sunlight into food. They are heterotrophs and need to consume plants and other organisms, in order to feed themselves.*
- *Sponges are multicellular organisms and that's where their similarity with other animals ends. It's the simplest of all animals.*
- *Due to their antibacterial properties, Bats don't get sick from most known viruses, and you can also include the Coronavirus to that list of viruses. Guess that's why scientists meander through long lost forest-caves*
- *One of the more beautiful science facts in the animal kingdom comes from dragonflies. Symbolizing spiritual growth, they form a heart shape during the ritual of mating.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
No Holidays in February	February 08 – February 15 February 23 – February 27

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
February 21 – Marty's Day February 25 – Shab-e-Barat	February 09 – February 14 February 24 – February 29

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
February 10 – February 16 – Spring Festival Holiday	February 05 – Kashmir Solidarity Day	**No Holidays through February**

Prices indicated above are as reported in the market and are not necessarily accurate. This information is provided without prejudice and is given in good faith and without any guarantees whatsoever. While every care has been taken in the preparation of this report, no liability can be accepted for any loss incurred in any way whatsoever by any person relying on the information contained herein. Opinions expressed herein may be deemed subjective and arbitrary. This WEEKLY is intended only for the person or entity to which it is addressed and may contain confidential and/or privileged material. Any review, retransmission, dissemination, or other use of this information by persons or entities other than the intended recipient is prohibited.

ALANG - Port Position as of February 02, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Green Freezer*	*2,987*	*Reefer*	*Beached January 31*
2	*Ice River*	*6,985*	*Reefer*	*Beached January 31*
3	*MSC Jemima*	*12,677*	*Container*	*Beached January 28*
4	Safe	890	General Cargo	Arrived February 01
5	**Sas 4**	**935**	**Supply**	**Arrived December 16**
6	Tomson Gas	1,990	LPG	Arrived January 26
7	Viliga	807	Fishing Vessel	Arrived January 18
8	*Wave (Under Tow)*	*8,095*	*General Cargo*	*Beached January 30*
9	*Ze Sheng*	*3,924*	*Aggregates Carrier*	*Beached February 01*
Total Tonnage		**39,291**		

CHATTOGRAM - Port Position as of February 02, 2024

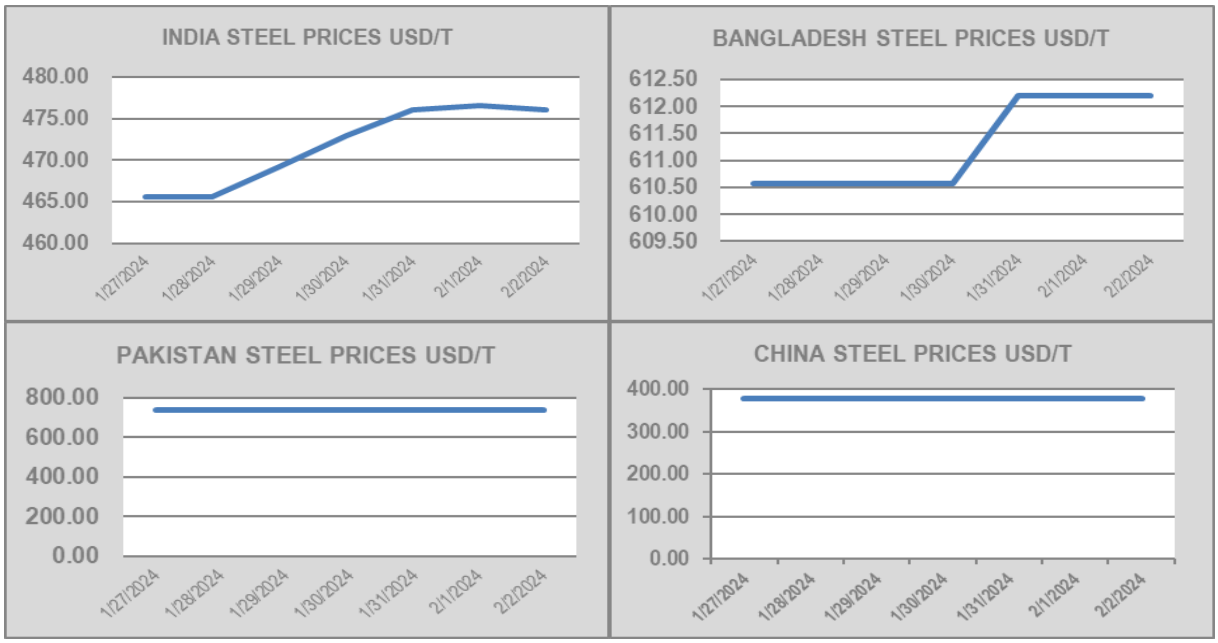
No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Jin Yuan He*	*6,710*	*Container*	*Beached January 31*
2	*Konshin*	*1,416*	*General Cargo*	*Beached February 01*
3	*P Delta*	*5,256*	*Container*	*Beached February 02*
4	*P Delta*	*5,256*	*Container*	*Beached February 02*
5	*Sambong 1*	*420*	*Tug*	*Beached January 31*
6	*Sambong 2*	*2,822*	*Barge*	*Beached January 31*
7	*Singhpur*	*348*	*Tug*	*Beached January 27*
8	*Song*	*11,247*	*Bulk Carrier*	*Beached January 27*
9	*Span 23*	*2,197*	*General Cargo*	*Beached February 01*
10	*Yi Cheng 58*	*4,301*	*MPP*	*Beached January 26*
Total Tonnage		**39,973**		

GADANI - Port Position as of February 01, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Ze Hong	11,618	Container	Arrived January 27
Total Tonnage		**11,618**		

WHILE EXTREME CARE HAS BEEN TAKEN IN THE PREPARATION OF THIS REPORT, NO LIABILITY CAN BE ACCEPTED FOR ANY LOSS INCURRED IN ANY WAY WHATSOEVER BY ANY PERSON RELYING ON THE INFORMATION CONTAINED HEREIN.

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
1/27/2024	465.59	38,700.00	736.28	208,000.00	610.57	75,100.00	377.46
1/28/2024	465.59	38,700.00	736.28	208,000.00	610.57	75,100.00	377.46
1/29/2024	469.14	39,000.00	736.28	208,000.00	610.57	75,100.00	377.46
1/30/2024	472.92	39,300.00	736.28	208,000.00	610.57	75,100.00	377.46
1/31/2024	476.02	39,500.00	736.28	208,000.00	612.20	75,300.00	377.46
2/1/2024	476.59	39,500.00	736.28	208,000.00	612.20	75,300.00	377.46
2/2/2024	476.08	39,500.00	736.28	208,000.00	612.20	75,300.00	377.46



ANDROID APP ON Google play
Download on the App Store

www.gmsinc.net
GMS_Leadership
GMS Leadership
snp@gmsinc.net

Athens, Greece Tel: +30.210.899.0669
Cumberland, USA Tel: +1.301.759.9240
Hamburg, Germany Tel: +49.40. 3197.9963
Shanghai, China Tel: +86.216.075.1900
Singapore Tel: +65.6823.8037
Bhavnagar, India Tel: +91.278.300.5253
Dubai, UAE Tel: +971.4.423.0720
New York, USA: +1.240.505.9716
Seoul, South Korea Tel: +82.10.4650.0720
Tokyo, Japan Tel: +81.3.5453.6311